

\$1 million of investment assets. Spending does not seem to decline much with age: the proportion of globetrotters in the population stays consistent at the age seventy-five-plus range, and expenditures on travel are also the highest for this age group. The authors conclude that globetrotters should probably work from the assumption that their retirement spending will keep pace with inflation, making it more dangerous for them to plan in advance to follow a retirement spending smile type of pattern.

Health-care spenders (4 percent of households): For this group, health-care expenditures reflect 28 percent of income. Expenditures include Medicare-related expenses and prescription costs. As health-care expenses tend to rise faster than the overall inflation rate, those who are part of this category must take care to adequately project their health-care expenses. The forces that create the upward spending tick in the retirement spending smile could happen sooner, and overall spending could increase faster than average consumer inflation.

Snowflakes (24 percent of households): The remaining households reflect more unique types of experiences that cannot be categorized more generally.

And so, what is the best baseline assumption to use: constant inflation-adjusted spending, decreased spending, or a retirement spending smile? This is a big question that is still not fully resolved. We need to track individual households over time in order to better see the variety of spending patterns and how they relate to personal characteristics of the household. What percentage of households voluntarily reduce their spending? What percentage are forced to increase spending due to entering a nursing home or experiencing large medical bills? Are their personal characteristics linked to different spending patterns that could help retirees find better assumptions? For instance, higher net worth retirees may have much larger discretionary expenses when they enter retirement, while more typical retirees may find that most of their spending is for essential needs, which will not be reduced and must adjust with inflation. The research by Roy and Carson moves the furthest in analyzing these sorts of questions, but one would still be hard-pressed to develop a personalized spending plan based on their findings. A clear point, though, is that those who plan for greater expenses related to